The World

Trump says US has 'total control' over Hormuz; Iran says no ceasefire talks yet

Parisa Hafezi
Dubai, August 12

US PRESIDENT Donald Trump on Wednesday said the United States is in control of the Strait of Hormuz.

"The U.S.A. has total control over the Strait of Hormuz. I think we will keep it! Our Naval blockade is being called, by everyone, "A wall of steel," and there is nothing Iran can do about it," he wrote on his Truth Social platform.

Meanwhile, Iran said that Washington must return to the pact and define a timeframe to implement its commitments, a senior Iranian source told *Reuters* on Wednesday.

The source's comments came after Turkey's Anadolu news agency, citing Pakistani government sources, reported that Tehran and Washington had agreed to extend a 60-day ceasefire under their Memorandum of Understanding (MoU).

"One of the issues that is being discussed via mediators is the U.S. returning to the interim agreement and defining a timeframe for implementing its commitments. There has been absolutely no progress on this issue," the source said.

The interim deal signed in June between Tehran and Washington declared an "immediate and permanent termination of military operations on all fronts", but quickly unravelled, with US President Donald Trump saying on July 7 that the pact was "over".

Tehran has repeatedly accused Washington of consistently violating its commitments.

"There is no talk of an extension because ... the United States violated the interim agreement 48 hours after it was reached and withdrew from it a few days later," the source told *Reuters*.

In the agreement, the 60-day period refers to an extendable timeframe within which Iran and the US were expected to reach a final deal, which would include larger issues including the fate of Iran's disputed nuclear program.

A series of requirements, such as a ceasefire in Lebanon, free navigation in the Gulf and waivers for Iran to sell its oil, were viewed as necessary before entering the further negotiation period. REUTERS

WHO says Congo's Ebola outbreak is on track to surpass the deadliest in history

Associated Press
Geneva, August 12

THE ONGOING Ebola outbreak in Congo is on track to surpass the deadliest one in history that killed over 11,000 people out of more than 28,000 cases, the head of the World Health Organization said Wednesday.

"At its current pace, it's on track to eclipse the West African Ebola outbreak of 2014 to 2016," Tedros Adhanom Ghebreyesus told reporters. That outbreak horrified the world and jolted efforts to develop a vaccine. The outbreak in eastern Congo, considered the fastest-growing in history, has killed over 2,000 people out of more than 4,300 cases.

The outbreak was declared on May 15, but health authorities now say sequencing showed it began months earlier, in February. It is unlike most previous Ebola outbreaks because the rare Bundibugyo virus responsible for it has no approved vaccines or treatments, though efforts to address that are underway.

The outbreak in eastern Congo has killed over 2,000 people. AP

Experts say this outbreak is moving faster than efforts to track and manage it in a remote part of eastern Congo facing ongoing conflict, near the borders with South Sudan, Uganda and Rwanda. Most of the new cases and deaths are still being reported in communities outside the reach of health workers in a region of poor infrastructure and ill-equipped health centres.

Some health workers have gone on strike over lack of pay. Misinformation about the virus continues to circulate in communities where some are wary of outsiders.

Colombia earthquake toll tops 250 as rescuers race to find survivors

Reuters
Pereira, Cali, August 12

RESCUE CREWS on Tuesday dug through mountains of rubble in western Colombia, shouting for quiet so they could listen for survivors still trapped under the buildings that collapsed in a powerful earthquake estimated to have killed at least 250 people.

The 7.4-magnitude quake, the most devastating to strike Colombia this century, tore through its coffee-growing heartland early on Monday, leaving apartment blocks, homes, schools and health centers cracked, leaning or flattened.

Separate reports from affected cities put the death toll at 254 on Tuesday morning, with 101 people killed in Pereira, deep in coffee country, and 95 in Cali, the country's third-biggest city.

Many Indigenous communities in the forested Pacific-facing region of Choco close to the quake epicenter are still without power or basic services.

The earthquake struck just days after the inauguration of new President Abelardo De La Espriella, who traveled to the affected regions and promised economic support to people who lost their homes.

THE INDIAN EXPRESS

Explained

THURSDAY, AUGUST 13, 2026

• LEGAL

Harming youth: Why Meta must pay nearly $1 bn

Vineet Bhalla
New Delhi, August 12

A STATE court in New Mexico has ordered Meta Platforms, the parent company of Facebook and Instagram, to pay $567 million into an abatement fund to address harms to children and adolescents, after declaring that its platforms contributed substantially to a public nuisance in the state. The order, dated August 6, comes on top of a $375 million civil penalty imposed after a jury found that Meta violated New Mexico's Unfair Practices Act. Together, the two orders mean that Meta's financial exposure in the case amounts to $942 million.

The two phases of the trial

Phase 1 was a jury trial, where the jury was asked to determine whether Meta had misled adolescents about the safety and risks of its platforms. It found 75,000 statutory violations, with the maximum $5,000 penalty applied to each, resulting in a $375 million civil penalty.

Phase 2 was a bench trial — meaning the judge decided the case without a jury — which concerned the state's claim that Meta's platforms constituted a public nuisance and its request for an order requiring Meta to "abate" that nuisance. New Mexico law defines a public nuisance to include conduct that affects citizens and is injurious to public health, safety, morals or welfare, or interferes with public rights. The judge ruled that Meta's platforms caused and substantially contributed to the nuisance of a youth mental health crisis in the state.

THE SIGNIFICANCE

- The judgment treats a social media platform's architecture and operation, rather than just user content, as capable of contributing to a public nuisance.
- But the court's approach was deliberately limited. It recognised that courts cannot simply regulate protected speech or redesign the internet wholesale.

Court's findings

The court found that major depressive episodes among young people had more than doubled between 2013-14 and 2022-23; suicide was the second-leading cause of death among adolescents in 2019-23 and indicators of disordered eating had also increased. It accepted expert evidence that social media was a significant contributing factor to this crisis.

Beyond mental health, the ruling records evidence of technology-facilitated sexual abuse and sextortion. While acknowledging that teenagers use other apps like TikTok and YouTube, the court specifically linked the crisis to Meta by noting that Facebook and Instagram are "unique in their emphasis on interpersonal relationships". Educators and psychiatrists testified that Instagram is a primary driver of addiction, bullying and classroom disruptions.

'Polluting factory' analogy

Meta argued that if a factory caused pollution, a court should require it to stop the harmful emissions, rather than shut down the factory or make it pay for unrelated issues. The judge applied the analogy against Meta. The platforms were the factory, the content and advertising were its products, and the psychological harm and sexual exploitation of children were the "pollution" to be abated.

What next

The $567 million abatement fund will operate for five years. Of that amount, $420 million is earmarked for treatment, with additional money for screening, prevention, referrals and evaluation. The operational orders include limiting use by under-18 users. The court also directed Meta to strengthen age-assurance measures.

• ECONOMY

UPI's dramatic growth, and its next challenge

UPI, launched 10 years ago, has come to dominate the payments landscape. The key question for its next phase of growth: Who will foot the bill?

SIDDHARTH UPASANI

IN ITS payment systems "vision document" for 2012-15, the Reserve Bank of India (RBI) made an observation that seems unimaginable in 2026: an average Indian was making only six non-cash transactions in a year.

Almost a decade-and-a-half later, in 2025-26, the number of digital transactions was an astonishing 28,174 crore. And 86% of these payments were from a system that didn't even exist until a decade ago — Unified Payments Interface (UPI).

More than 55 crore people use UPI now and 703 entities — from banks to payment service providers — are involved in facilitating its transactions. Having completed 10 years this month — it was launched as a pilot in April 2016 before becoming fully operational in August that year — it is now at a crossroads. An amendment to the Payments and Settlement Systems Act of 2007 has removed the barrier to merchants being charged a fee for receiving payments via UPI.

Drivers behind adoption

UPI was developed by RBI-regulated National Payments Corporation of India (NPCI) and the Indian Banks' Association (IBA). Work on it started in 2012-13, with the payment systems "vision document" for 2012-15 making several noteworthy points, including how despite attempts to move towards a less-cash society, nearly a third of e-commerce purchases were being paid via cash-on-delivery.

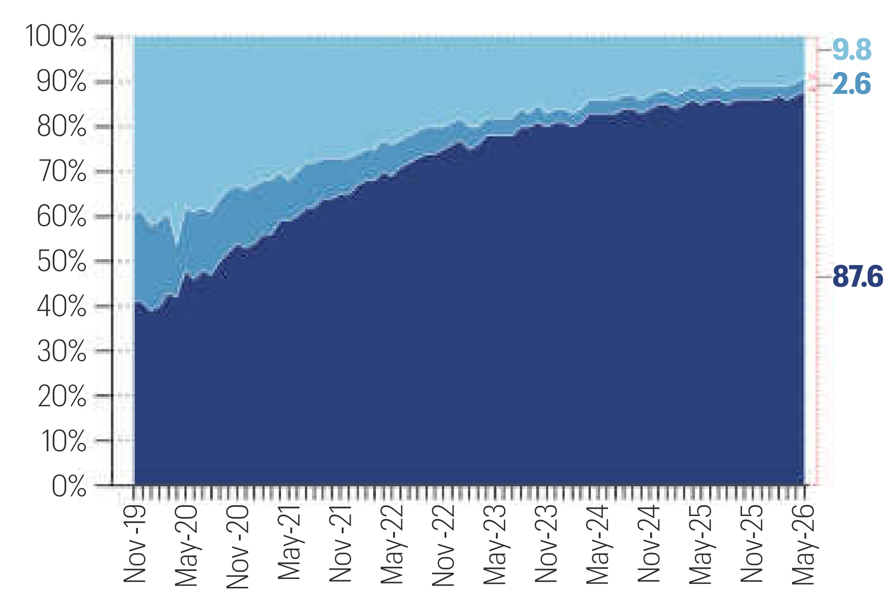
While the government's demonetisation decision in November 2016 helped spur cashless activity for a short while, movement was still slow. Until December 2017, monthly transaction value was under Rs 10,000 crore and it took another year for that figure to cross Rs 1 lakh crore. It was felt that more was needed for digital payments to truly take off. And a key hindrance was the Merchant Discount Rate (MDR).

The MDR obstacle

Led by Nandan Nilekani, the High-Level Committee on Deepening of Digital Payments said in May 2019 that customers and small merchants not be charged by their banks for digital transactions and the

• LION'S SHARE IN DIGITAL PAYMENTS

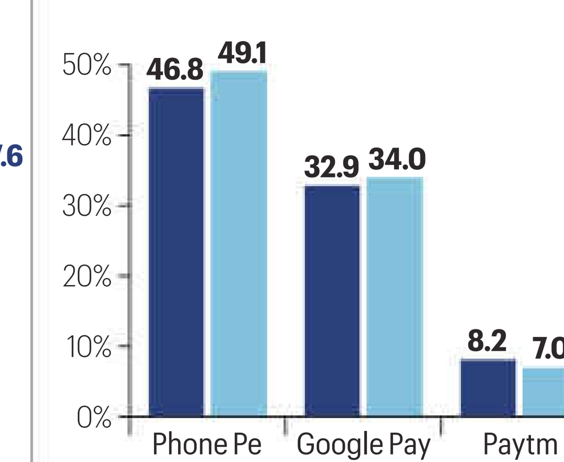
UPI has doubled its share in retail digital payments since 2019



SOURCE: RBI; NOTES: CARD TRANSACTIONS EXCLUDE ATM WITHDRAWALS, OTHER RETAIL DIGITAL PAYMENTS EXCLUDE PAPER-BASED INSTRUMENTS

• A TWO-HORSE RACE

PhonePe and Google Pay, both backed by US giants, handled 80% of all UPI transactions in July, accounting for 83% of the value. Paytm is a distant third.



SOURCE: NPCI; NOTE: FIGURES ARE FOR JULY 2026

government must subsidise MDR on transactions of up to Rs 2,000.

This was seemingly accepted and the government in 2020 began subsidising UPI and RuPay debit card payments of up to Rs 2,000 to small merchants. Capped at 0.15% of the transaction value, the subsidy was shared among banks, payment service providers and third-party app providers.

What followed was an incredible rise in the use of UPI, with no small role played by the coronavirus pandemic, as people looked to avoid any potential human contact in transferring cash.

Investments drive innovation

But even before this, private money was flowing into India's digital payments sector at a tremendous pace.

"Investment in Indian fintech firms spiked in early 2019 and again in 2021 when payment firms took up nearly half the volume, marking a shift in investors' interest. The majority of investments was in companies whose core business was providing payment services and point-of-sales (PoS) devices," a December 2024 paper by the Bank for International Settlements (BIS) said.

"The spike in the value of investment deals in 2019 related to the growing adoption of UPI and large deals by Paytm and PhonePe. In 2021, the surge in investment followed from an increased preference for using digital payment systems after the Covid-19 pandemic," it added.

Payments stranglehold

PhonePe and Google Pay have a stranglehold over the top two positions.

•

Regulations to restrict any one player's market share to 30% has had to be postponed multiple times. The current deadline is December 2026.

'Too late' for banks

That period of immense interest and investment in India's digital payments sector has led to an entirely new crop of players dominating the space in such a manner that even the country's top bank, State Bank of India, can't catch up.

"I think we have definitely missed the payments bus and it is too late to catch up," SBI Chairman C S Setty said last week. "I don't think any bank can reach the kind of volumes they have built." Setty was referring to the players hogging the UPI volumes: Walmart-backed PhonePe and Google Pay. Together, the two apps backed by US giants handled 80% of all UPI transactions in July, accounting for 83% of the value.

Costs pile up

The volume of UPI transactions has risen so sharply they have left behind more traditional non-cash payment methods such as debit and credit cards.

The number of credit and debit card transactions — excluding ATM withdrawals — in May this year were just 17% higher at 70 crore than in November 2019. In comparison, the growth in UPI transactions has been 1,800%.

This huge increase is not without a rise in its underlying costs.

"The scale of digital payments today means that even a relatively small unrecovered cost per transaction can translate into a significant financial burden across banks, Payment Service Providers, and other ecosystem participants," said Sridhar Guntuku, Vice President-Alliances and Partnerships at fintech infrastructure platform Decentro.

It is in this context that the payments industry has been calling for the return of MDR on UPI and RuPay debit card transactions. The Centre subsidises person-to-merchant payments of up to Rs 2,000, but that money is just not enough to cover payment infra costs that are to the tune of Rs 20,000 crore a year or so.

"For core UPI, zero MDR has been the right call; it is what allowed the ecosystem to reach smaller merchants and drive adoption at scale," Anirban Mukherjee, CEO of PayU, said. However, the future can't be only about processing more transactions and its next phase needs to be about creating more value per transaction.

"As UPI deepens its reach, it also lays the foundation for something even more transformative, that is credit. Affordable, accessible, data-driven credit for merchants and consumers who have never had it. A calibrated MDR framework for larger merchants could help get us there, without compromising the accessibility that made UPI successful in the first place," Mukherjee added.

This is why the payments industry is batting for an MDR of 0.3-0.6% on payments of more than Rs 2,000 to large merchants. Transactions of more than Rs 2,000 might make up just 4% of all P2M payments, but they account for 68% of total value.

'Next wave of growth'

The message from the government has been similar, with the finance ministry saying in a statement on Saturday that relying on subsidies alone is not viable for the "next wave of growth".

This next wave of UPI growth, according to the government, will come from the rural and semi-urban areas. Payments industry executives also point to international opportunities. Already, UPI is operational in 9 countries — Bhutan, France, Mauritius, Nepal, Singapore, Sri Lanka, UAE, Qatar, and Cambodia — to varying degrees. Efforts are on to increase acceptance further in countries that are hotspots for Indian tourists and migrant workers.

Leading the charge is the partnership with Singapore, whose PayNow fast-payment system has been linked with UPI for more than three years now.

This is the future, as international bank transfers can take several days to settle, with the costs being as high as 7% of the amount that must be transferred.

• SCIENCE

Total solar eclipse: The best time to study Sun's 'invisible' part

Anjali Marar
Bengaluru, August 12

EUROPE WITNESSED its first total solar eclipse in 27 years between Wednesday night and Thursday morning (India time).

A solar eclipse occurs when the Moon passes between the Sun and the Earth, blocking out some or all of the star's light. The latter phenomenon happens during a total solar eclipse. It is a rare occurrence, requiring the Sun, the Moon and the Earth to line-up perfectly in space.

While not all of Europe will experience "totality" — the phase when the Moon completely covers the Sun's surface — large parts of the continent will still experience near night-like conditions.

A solar eclipse also happens to be the best time for scientists to study the Sun. Here's what they study at that time — and how they do it.

Why do we need to study the Sun?

For scientists, observing the Sun's corona and the inner corona is crucial. The corona's magnetic field triggers solar flares and "coronal mass ejections", which can disrupt satellites, GPS and other communication systems on Earth.

The corona is the Sun's outermost atmosphere, extending millions of kilometres into space. The inner corona is the part of the Sun's outer atmosphere that is closest to the star's surface.

However, it is extremely faint. To study it, scientists need to block the solar disc artificially using an instrument called a coronagraph, which is usually placed on solar probes or missions. On many occasions, however, these instruments are affected by scattered light — making it impossible to observe the inner corona.

How does a solar eclipse help?

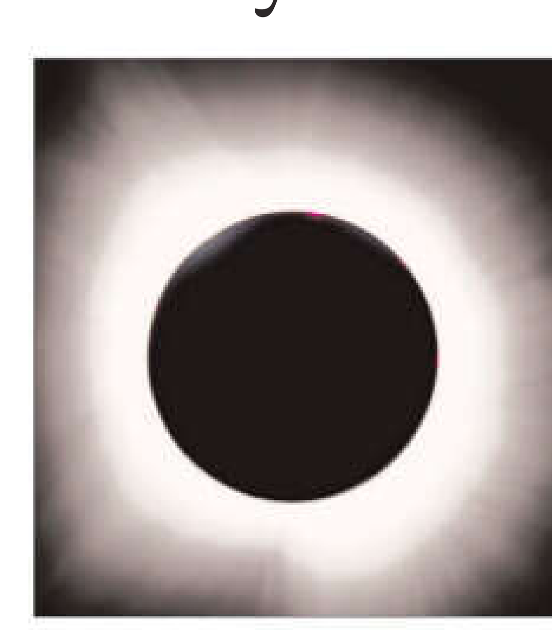
During a total solar eclipse, the Moon completely blocks the solar disc, making the inner corona visible in the form of a halo around the lunar body.

This provides helio-physicists with a valuable window to make ground-based observations of the solar atmosphere.

"When an eclipse happens, the bright inner disk gets blocked and the fainter outer atmosphere gets revealed, which is the solar corona. The eclipse thus gives us clues to the underlying magnetic structure of the Sun's corona," Dibyendu Nandi, an astrophysicist from the Raman Research Institute, told *The Indian Express*.

Path of totality

- The total eclipse will be visible along the north of Russia, Greenland, west Iceland, northern Spain and a small area in northeast Portugal.
- Together, these locations form the 'path of totality' — the narrow strip on the Earth's surface where the Moon can be seen completely blocking the Sun.
- In any total solar eclipse, the duration of 'totality' — the phase when the Moon completely covers the Sun's surface — is the longest near the centre of the path of totality.



A total solar eclipse seen in Texas in 2024. The Sun's corona can be seen as a halo. AP

Another factor to consider is the solar cycle — the roughly 11-year cycle during which the Sun's activity rises and falls, marked by changes in the number of sunspots, solar flares and other activity.

In the current solar cycle, which began in 2020, the Sun has already passed its maxima phase — the period when it is most active and when more structures in the inner corona are likely to be visible.

Owing to these reasons, scientists plan multiple experiments and solar observations during total solar eclipses, particularly from the location where the maximum eclipse is expected.

What can scientists observe?

During the eclipse, an Indian group of researchers at Centre of Excellence for Space Science India (CESSI), IISER-Kolkata, has predicted the possibility of spotting multiple large-scale streamers, which are petal-like structures. "These are nothing but bright magnetic field structures rooted to the solar surface. There is no other way to see the magnetic fields, because the Sun's disc is bright. During a natural eclipse, it is possible to see the Sun's corona from the ground, too," Nandi said.

If these magnetic field structures are spotted during the event, scientists expect them to be highly complex and spectacular.

• DEFENCE

GPS to night bombing: IAF's many challenges during Kargil war's Op Safed Sagar

EXPERT EXPLAINS

BIRENDER SINGH DHANOA

FORMER CHIEF OF THE AIR STAFF, INDIAN AIR FORCE

THE NETFLIX series *Operation Safed Sagar* has spurred an interest in the key details of the Indian Air Force's (IAF) operations during the 1999 Kargil conflict with Pakistan. Safed Sagar involved multiple IAF squadrons — including the No. 17 Golden Arrows — together carrying out air operations, including night bombing missions over the snow-clad, towering peaks of Kargil, in unique and innovative ways.

Former IAF chief Air Chief Marshal **Birender Singh Dhanoa** (retired), who was then the Commanding Officer of the No. 17 Squadron of the MiG-21 fighter jets, spoke to **Amrita Nayak Dutta**.

What challenges arose during night bombing operations?

The mountains would shine in the moonlight. But it had its risks, as the clouds could cover the moon at any time, leading to darkness, and one would have to abort and get out of the valley if needed.

The Pakistanis had put a radar atop a hill on their side of the Line of Control, which was accurately located and fixed by our ELINT (Electronic Intelligence) aircraft. Headquarters Western Air Command had given us a map with the 3D Platter of the radar pick-up marked every 5°.

So, we used to enter the valley and fly below the crest line (meaning the highest continuous edge of a mountain range), descending low to 1 km or about 3,000 feet above the target level before weapons release.

A still from Netflix's 'Operation Safed Sagar'

We were within the lethal envelope of their shoulder-fired SAMs (surface-to-air missile). On the first night strike mission, they fired a low-level SAM at us, but it fell harmlessly, as it was most probably fired at the sound of the aircraft in our general direction, without a proper lock-on.

Low-level night strike missions had their risks, but their results were much better as we were closer to the target when we released our bombs. We could even tip our wings and see the impact point in the moonlight.

What happened following Squadron Leader Ajay Ahuja's capture?

Squadron Leader Ahuja, who was on a Battle Damage Assessment mission, was responding to a call from the Leader of the MiG-27 Formation. He was asked to come and replace him to look for Group Captain (then Flight Lieutenant) K Nachiketa (Retd.), who had gone for a strike at the Batalik sector when his aircraft engine flamed out.

Ahuja was orbiting over the area where the wreckage of the other MiG-27 was located. There, he was constantly in communication with another helicopter pilot, who had rerouted for the rescue mission.

The continuous orbiting and his exuberance to keep the crash site in contact may have led him to drift down, bringing him within the engagement envelope of the Stinger missile and getting shot down. But he did everything right after getting hit. As decided for such eventualities, he glided down and hit the Indus River, and called out his coordinates before ejecting. But then he was surrounded and captured by Pakistani troops/irregulars. He died of small arms injury, which means that he was killed as a Prisoner of War.

The series claims that GPS manipulation by the Americans affected the bombing operations initially. Thoughts?

Before May 2, 2000, GPS signals were accurate to about 100 metres (across the world, not only over India). Plus, there was some bias (a kind of systematic problem) due to the error between the WGS 84 (World Geodetic System 1984, a standard coordinate system and map reference frame used around the Earth) and the Everest Spheroid (another reference model of the Earth, first defined in 1830 by Sir George Everest, the Surveyor General).

The Indian maps were based on the Everest Spheroid. This had to be corrected for in the handheld GPS sets, which displayed information only in WGS 84 coordinates.

However, the Time Arc-6 GPS sets built into the MiG-21 and MiG-23 BN aircraft allowed one to select to fly on Indian Everest coordinates. As the Army used to give us targets in these coordinates, we used to physically mark them on a 1:50,000 map and then use our scale to measure the exact coordinates in latitude and longitude. Then, we had to count every contour to get an exact altitude and then fly at an exact altitude to be 4 km above the target to release our bombs.

So, as shown in the series, against a surveyed point on the ground (in Indian Everest Coordinates), a handheld GPS set would show an error, which had to be corrected. I don't think the Americans had done it on purpose.

THURSDAY, AUGUST 13, 2026

The Indian EXPRESS

NEW DELHI, LATE CITY, 22 PAGES

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Panel: Justice Varma's reply on burnt cash 'false', adds to 'grave suspicion'

Ananthakrishnan G
New Delhi, August 12

A THREE-MEMBER inquiry committee set up by the Lok Sabha Speaker to probe the discovery and subsequent disappearance of "substantial" burnt cash from the official residence of former High Court judge Justice Yashwant Varma last year has concluded that the judge's explanations in this regard were "false and adds to grave suspicion against him".

Burnt cash was found after a fire at Justice Yashwant Varma's official residence in Delhi. FILE

The committee also said in its report, which was tabled in Parliament on Wednesday, that the "failure to seize, inventorise or preserve" the notes was "a serious lapse". The committee was headed by Supreme Court judge Justice Aravind Kumar and also included former Bombay High Court Chief Justice Shree Chandrashekhar and Senior Advocate B V Acharya.

In its report, the committee cited the statement of a witness who said he had seen Justice Varma's Private Secretary and an aide "were still engaged in

»CONTINUED ON PAGE 2

RELATED REPORT, PAGE 6

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

Justice Varma's reply 'false'

cleaning work around 3 am" on March 15, 2025.

The report said the committee accepts that Justice Varma "was not physically present when the fire broke out and when the first responders (firefighters) reached the premises". However, it said, the judge, "who was aware of the whole incident and was in touch with his daughter", the aide and the Private Secretary, "does not say that he took any step in the matter, or asked for seizure of currency notes and preparation of inventory".

"He also does not say that he lodged any report or insisted on any police report being lodged. His whole defence is false and adds to grave suspicion against him," the report stated.

The report added that "the currency was seen". "It was not preserved. The storeroom was not sealed immediately. Cleaning activity occurred after the first responders had left. The material was not later available. No satisfactory explanation has been furnished as to how currency notes seen by several official witnesses disappeared or became unavailable... It is admitted that the Judge was in touch with not only his daughter but also (the Private Secretary and aide)... The inference is that they have acted at the instance of the Judge under his instruction," the report stated.

On Justice Varma placing responsibility for the matter on fire and police officials, the committee said that "the premises remained the official residence of the Judge". "The persons seen near the store and engaged in cleaning work were not strangers to the premises... Their conduct in relation to the storeroom is not irrelevant to the institutional responsibility attaching to the premises," it said.

The committee said it was not resting its conclusion "on direct proof that the Judge personally removed the currency notes" but "upon failure to preserve, acquiescence in disturbance of the scene through the establishment under his authority, and the resulting loss of material evidence".

According to the committee, Justice Varma "failed to furnish a satisfactory explanation regarding the presence, source or ownership" and gave "evasive, incomplete and misleading" answers.

It noted that Justice Varma's defence "moved from denial of presence, to absence of seizure and verification, to possible fake currency notes, to possible removal by first responders, and to suspicions regarding staff". Yet, the report said, he "did not lead evidence to substantiate them" and instead withdrew from proceedings.

Responding to the allegations against him, the report stated, Justice Varma "consistently contended that the storeroom" where the cash was allegedly found "was detached from the main living area" of his official bungalow, "was near the staff/security quarters, was used for storage of old household articles, and was accessible to staff, CPWD personnel and others".

On this, the committee said: "...the material question is whether the storeroom was within the official premises allotted to and occupied by him. On the record, it was. The storeroom was not outside the compound. It was not under the independent occupation of a stranger. It formed part of the official residential establishment at 30, Tughlaq Crescent, New Delhi. It was under his control and possession."

The report said shared access "does not convert a storeroom within the official residence of a Judge into an unregulated public space. Nor does it explain how substantial currency notes came to be present therein".

It further noted that Justice Varma had said that "a liquor cabinet was kept in the storeroom and that the said liquor cabinet used to remain locked".

The report added, "A locked cabinet containing personal articles is not ordinarily maintained in a space which is wholly unregulated, wholly outside the knowledge of the occupant, or wholly beyond his effective control. The presence of such a cabinet, and the Judge's own assertion that it was kept locked, materially weakens the plea that the storeroom was merely an open, freely accessible and uncontrolled space near the staff quarters. It indicates that, notwithstanding access by staff or maintenance personnel for limited purposes, the room was not alien to the Judge's residential establishment. It was a space within the official premises which was capable of being used for keeping articles under his lock and key."

The committee noted that Justice Varma's explanation on March 22, 2025, to the then Chief Justice of India Sanjiv Khanna, and the subsequent stand he took, "did not exhibit the candour, transparency and institutional responsibility expected in the circumstances".

The report also criticised the judge's conduct during its inquiry. "Having participated in the proceedings up to completion of evidence in proof of charges and after seeking time to produce evidence on his behalf, (Justice Varma) suddenly decided to withdraw from the proceedings and made it clear that he will not participate in the proceedings any more. Thus, he has failed to co-operate with the committee in its proceedings," it said.

Justice Varma resigned in April 2026. The committee primarily probed three charges: discovery of "substantial unexplained Rs 500 denomination currency notes" in a storeroom at his official residence; failure to preserve material evidence, allowing interference that resulted in the unexplained disappearance of the burnt notes; "evasive and misleading explanations" for these events.

Earlier, after the incident first came to light, the Supreme Court Collegium on March 20, 2025, recommended Justice Varma's transfer from the Delhi High Court to the Allahabad High Court. Two days later, CJI Khanna constituted an in-house inquiry committee to investigate the allegations.

The internal probe substantiated the charges and forwarded its findings to the President and Prime Minister for further action.

Subsequently, impeachment motions were introduced in both Houses of Parliament, prompting the Lok Sabha Speaker to set up the inquiry panel under the Judges (Inquiry) Act, 1968.

Justice Varma moved the Supreme Court, challenging the in-house committee and the constitutionality of the Parliamentary Inquiry Committee. However, the Supreme Court dismissed both petitions, holding that established procedures were followed.

'FROM YOUNG TO OLD, ALL AFFECTED'

Rise in swine flu cases in Capital, tally reaches 1,449

Tabshir Shams
New Delhi, August 12

DELHI HAS recorded a sharp rise in cases of influenza H1N1 or swine flu this year, with 1,449 cases reported as of August 12, more than six times the 229 infections recorded during the corresponding period last year, according to National Centre for Disease Control (NCDC) data.

"Of the 1,449 cases of H1N1 recorded so far this year, 63 were reported on August 11," Delhi Health Minister Pankaj Singh told *The Indian Express* on Wednesday. In 2019, Delhi had recorded 3,637 H1N1 cases and 31 deaths.

Singh maintained that Delhi government hospitals were equipped to deal with the situation. "There are special and separate wards in various Delhi hospitals like RML and Safdarjung to deal with the rise in cases," he said.

Dr S Chatterjee, internal medicine specialist at Apollo Hospital, said the reason for the current rise would be clear only after a genetic study of the virus. "Maybe the virus has mutated, or it's happening because people are coming into contact with each other more," he added.

The H1N1 virus, commonly known as swine flu, is a type of influenza virus that causes a viral infection of the nose, throat and lungs. Influenza viruses are classified into four types – A, B, C and D. Among these, Influenza A is the most common type that spreads from pigs to people. Common symptoms include fever, cough, headache, muscle aches, tiredness, sweating and chills.

Delhi has, meanwhile, also reported 184 cases of influenza B (Yamagata).

Dr Chatterjee said H1N1 can sometimes progress quickly from a mild respiratory illness to a severe condition.

"This year, from young to old, all age groups have been affected. People with weakened immunity and co-morbidities – like diabetes, hypertension, lung disease, heart disease – as well as pregnant women and elderly people, are more at risk."

There are a few cases, which have gone to respiratory failure as well, he said. "Treatment is symptomatic; antibiotics don't really work. Only one antiviral drug, oseltamivir, works, but it only works when the treatment is started early. So, going to the doctor or getting tested becomes crucial," he added.

EPIDEMIC DISEASES ACT, 1897

WHEN CAN IT BE USED?
The Act allows the Union or state government to take special measures when an epidemic poses a serious threat to public health and existing laws are not enough to control it.

WHAT DOES SECTION 2 ALLOW?
The state can take measures when it is satisfied that the ordinary provisions of law are not sufficient to control the epidemic, including segregating, inspecting and accommodating individuals or groups.

WHY WAS IT ENACTED?
The Act was passed in 1897, during British rule, amid an outbreak of bubonic plague in Bombay in 1896, which killed thousands.

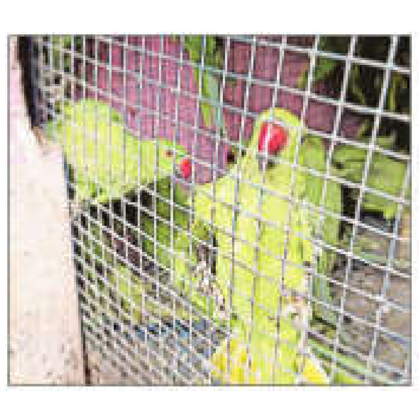
H1N1 PRECEDENT
The Act was invoked in several states in 2009 during the H1N1 outbreak. According to NCDC data, The first case was reported in Hyderabad on May 16, 2009. India recorded 10,193 cases and 1,035 deaths by May 24, 2010.

GLOBAL PANDEMIC
In June 2009, the World Health Organization declared H1N1 a global pandemic, with over 74 countries affected.

JAMA MASJID AREA

431 protected birds seized from pet shops

Express News Service
New Delhi, August 12



The birds were seized from five shops in Kabootar Market.

AS MANY as 863 birds and animals were rescued from five pet shops in Kabootar Market near Delhi's Jama Masjid on Wednesday, including 431 birds of protected or scheduled species.

The rescued protected birds included 183 Ring-necked Parakeets, 72 Plum-headed Parakeets, 63 Alexandrine Parakeets and 113 Muniya birds, police said.

The raid was conducted by the Central District Police along with People For Animals (PFA), World Wide Animal and officials of the Forest & Wildlife Department. The operation followed information received by PFA on August 9 regarding the alleged illegal sale, possession and confinement of protected birds and animals at pet shops in the market.

DCP (Central) Rohit Rajbir Singh said that during the raid, teams found a large number of birds and animals confined in overcrowded and unhygienic conditions. "Apart from the 431 protected or scheduled birds, 432 other birds and animals were rescued: 148 Budgerigars, 57 Cockatiels, 96 Lovebirds, 18 Guinea Pigs, nine Grey Squirrels, 41 White Mice, 11 Rabbits and 52 non-protected parakeets and other pet birds," Singh said.

The protected birds were seized by WWF, while the animals and birds rescued on account of alleged cruelty and improper conditions were taken into appropriate care by PFA.

Police identified five residents of Kabootar Market in connection with the case; they have been bound down and a case has been lodged. Investigators are also attempting to trace the wider supply chain and identify possible suppliers, transporters, distributors and establishments allegedly connected with the trade.

Ring-necked parakeets, Plum-headed Parakeets, Alexandrine Parakeets, and Muniya birds are protected under the Wildlife (Protection) Act, 1972, making their capture, sale, or possession a punishable offence.

A 2025 study published in International Journal of Fauna and Biological Studies said, "mortality in consignments could be substantial, particularly for small passerines moved in bulk."

Last year, a report by DU's Animal Law Cell, reported then by *The Indian Express* had highlighted recurring violation patterns from pet shops across Delhi. It stated that the proliferation of irregular and often cruel pet trade stemmed from regulatory gaps, weak enforcement, and market demand.

Cap Lok Sabha strength at 543: TN to Centre

Arun Janardhanan
Chennai, August 12

THE TAMIL Nadu Assembly Wednesday adopted a resolution urging the Union government to permanently cap the strength of the Lok Sabha at its existing 543 seats, putting the state formally against any expansion of Parliament through a fresh delimitation exercise and linking the dispute to a second unresolved question: the implementation of 33 per cent reservation for women.

The resolution, moved by Chief Minister C Joseph Vijay after a nearly two-hour debate, called for the women's quota to be implemented from the 2029 Lok Sabha elections and in elections to state legislatures, without waiting for a delimitation that could alter the distribution of parliamentary representation among states.

"The 33% reservation for women should be implemented in the 2029 Lok Sabha elections itself, based on the existing 543 constituencies," Vijay told the Assembly. "The 33% reservation for women should not be delayed any further."

Vijay said women had outnumbered men among voters in Tamil Nadu and framed political representation as an issue of social justice. "Providing reserva-

CM Vijay speaks at the Assembly on Wednesday. PTI

tion for women is not a concession; it is a matter of social justice," he said.

The resolution placed four broad demands before the Union government: permanently retain the Lok Sabha's strength at 543; freeze the allocation of seats among states at their existing proportions; maintain the 2.2:1 ratio between the Lok Sabha and Rajya Sabha; and implement the 33 per cent women's reservation in 2029 based on the existing 543 constituencies.

The government argued that states that successfully implemented population-control programmes should not suffer a reduction in their relative political representation as a consequence of delimitation.

The resolution noted that constituencies had not been delimited on the lines of a fresh population count for more than five decades and referred to the next census scheduled for 2026. The question of how representation should be redistributed after such an exercise has become particularly sensitive in Tamil Nadu and other southern states, where concerns centre on whether states with slower population growth could lose relative influence in Parliament.

The Assembly resolution follows a meeting convened by Vijay on August 8 with MPs of parties supporting his government, including the Congress and Left, which decided to oppose the Centre's proposed delimitation exercise in its entirety.

MONSOON SESSION

Proceedings against Justice Varma likely to continue as motion moved before he quit

Deeptiman Tiwary
New Delhi, August 12

THOUGH JUSTICE Yashwant Varma resigned as a judge of the Allahabad High Court in April this year while facing a parliamentary motion for his removal, government sources said Wednesday that his resignation would not affect the House proceedings initiated against him, as the motion had been admitted before he quit the judiciary.

"That motion remains in force as it started before he resigned. Despite his resignation, Parliament has to take into account his conduct and decide on his perks and pension," a Union minister said on condition of anonymity.

The three-member committee constituted by Lok Sabha Speaker Om Birla submitted its report on May 18, and it was tabled in Parliament on Wednesday, nearly 17 months after burnt currency notes were discovered at Varma's official residence in New Delhi following a fire.

The committee has found all three 'Articles of Charge' against him proved. The report itself does not determine the precise amount of cash found. Its findings rest on the established presence of substantial cash on premises under his effective control, the failure to preserve the evidence and the inadequacy of his subsequent explanations.

The findings bring back into focus the question of what Parliament can do with proceedings against a judge who has resigned before the process for his removal is completed. Varma had tendered his resignation on April 9, 2026, and withdrew from the statutory inquiry.

Justice Yashwant Varma quit as a judge of the Allahabad High Court in April this year. FILE

The controversy began on the night of March 14, 2025, when a fire broke out at Varma's official residence at 30 Tughlaq Crescent in Delhi, when he was a judge of the Delhi High Court. During the firefighting operation, substantial quantities of partly burnt currency notes were found in a storeroom on the premises.

The Supreme Court, then headed by CJI Sanjiv Khanna, initiated an in-house inquiry into the allegations. The inquiry committee subsequently found that Varma had "active or tacit control" over the storeroom where the cash was found. He was transferred to the Allahabad High Court in April 2025, though he was not assigned judicial work.

The next stage began with the proceedings in Parliament for his removal. On July 21, 2025, 146 Lok Sabha MPs submitted a motion seeking Varma's removal. Speaker Om Birla admitted the motion on August 12, 2025, and constituted a three-member inquiry committee under the Judges (Inquiry) Act, 1968. The committee was headed by Supreme Court Justice Aravind Kumar and comprised Bombay High Court Chief Justice Shree Chandrashekhar and Senior Advocate B V Acharya.

The committee continued its proceedings even after Varma resigned in April 2026 and submitted its report to the Speaker on May 18, 2026.

Of the committee's three 'Articles of Charge', the first concerned the discovery and possession of unexplained Indian currency at his official residence. The committee concluded that substantial Rs 500 currency notes were present in the storeroom and that the room formed part of the premises under Varma's effective control. It found that he had failed to provide a satisfactory explanation regarding the presence and ownership of the cash.

The second charge concerned the failure to preserve material evidence. The committee found that the scene was not adequately preserved after the fire and that the currency, which could have constituted crucial evidence, was subsequently unavailable. The committee's finding did not require it to conclude that Varma personally removed the cash.

The third charge concerned the explanations furnished by Varma. The committee found his explanations evasive and misleading, including his failure to satisfactorily account for the presence of cash and the subsequent disappearance of the material evidence. It also rejected alternative theories advanced during the proceedings in the absence of supporting evidence.

The committee has concluded that all three charges stand proved.

Parliament passes Bill to rename Kerala as Keralam

Express News Service
New Delhi, August 12

THE RAJYA Sabha on Wednesday passed a Bill to change the name of Kerala to Keralam, just over two years after the state Assembly passed a unanimous resolution, asking the Centre for the name change.

The Kerala (Alteration of Name) Bill, 2026, which changes the name of the state to Keralam and makes the necessary amendments to the Constitution, including in the First Schedule, was passed by a voice vote. The Lok Sabha had passed the Bill on Tuesday.

On Wednesday, MoS Home Nityanand Rai introduced the Bill on behalf of Home Minister Amit Shah, who was not present in the House. During the discussion on the Bill, all MPs supported the decision to rename the state, while some sought to change the names of some other states, cities and railway stations.

Congress MP Jebi Mather Hisham welcomed the Bill. When she sought to raise an issue regarding the Home Minister, Leader of the House J P Nadda objected, asking the chair not to take on record the "political statement".

TMC MP Derek O'Brien pointed out that West Bengal's proposal to change the name of the state to Bangla had been pending for eight years. DMK MP Tiruchi Siva welcomed the Bill, recalling how the name of Madras was changed to Tamil Nadu. "We know the value of a name," he said, while congratulating the people of the state.

AIADMK MP M Thambidurai called for the strengthening of cooperative federalism and respect for regional languages. Aam Aadmi Party MP Sanjay Singh, too, highlighted the need for respecting the various languages, attire and states in the country. Alleging that the Centre had not provided adequate funds to the state when it was hit by natural disasters, Singh said: "Don't just change the name, change your behaviour."

The House passed the Bill by voice vote.

National Cooperative Development Corporation Bill gets House approval

Express News Service
New Delhi, August 12

THE RAJYA Sabha on Wednesday passed the National Cooperative Development Corporation (Amendment) Bill, 2026, which expands the role of the NCDC to giving loans and grants directly to cooperative societies.

The Bill, passed by the Lok Sabha on Tuesday, was introduced by the Minister of State for Cooperation, Murlidhar Mohol, in the Upper House on behalf of Amit Shah, the Union Minister of Cooperation, who was not present. The Bill provides for expanding the ambit of the societies covered in the Act by amending the definition of "foodstuffs" to include processed food and any other food items notified by the Centre.

It amends the National Cooperative Development Corporation Act, 1962, which was enacted to set up the NCDC in order to carry out programmes through cooperative societies for "production, processing, marketing, storage, export and import of agriculture produce, foodstuffs, industrial goods, livestock and certain other commodities and services", as per the Bill's statement of objects and reasons.

Murlidhar Mohol, MoS for Cooperation, introduced the Bill in the Upper House. ANI FILE

Speaking on the Bill, BJD MP Sulata Deo demanded that it be referred to a select committee, asking "Why are we giving power to the Central government". "Mahatma Gandhi said the soul of the country lives in the villages. Then, why are we taking away the power from the villages and states", she asked.

While supporting the Bill, YSR Congress Party MP Golla Babu Rao called on the government to ensure that the benefits of the cooperatives sector reaches farmers. Meanwhile, M Thambidurai of the AIADMK said states should not be bypassed and that the Union government should "work closely with state governments".

While replying to the discussion, Mohol said it was unfortunate that the Congress MPs had walked out. Earlier, INDIA bloc MPs had continued sloganeering and demanding Shah address the House on the police action on students last month.

Mohol said there were over 8 lakh cooperative societies in the country, with over 30 crore members. Regarding the issue of states' rights, he said all states had adopted the model by-laws for Primary Agricultural Credit Societies (PACS). The Bill was then passed through voice vote.

Sweeping aviation model reforms sought for bus transport, terminals across India

Dheeraj Mishra
New Delhi, August 12

A NATIONAL Bus Terminals Authority — on the lines of Airports Authority of India — to develop, standardise and manage the bus terminals, a National Bus Digital Grid for live tracking and booking of buses just like trains, and chargeable entry of private buses into government-owned terminals are some of the major recommendations that a Parliamentary panel has made to the government.

The department-related Parliamentary Standing Committee on Transport, Tourism and Culture, in its report tabled in Rajya Sabha on Tuesday, also recommended a unified All India Passenger Permit to streamline regulatory hurdles. It also proposed a National Bus Digital Grid for live tracking and booking like train, publish operator safety ratings and dedicated peak-hour services for women to build a modern and safer transit network of buses across India.

According to the Ministry of Road Transport and Highways, there are around 4.4 lakh buses in India. Of these, around 1.1 lakh are owned by the state and central government and 3.3 lakh or 3 of every 4 buses are privately owned. The report emphasises that because buses carry more daily passengers than the railway network, they must move toward next-generation mobility with user-friendly services.

The panel recommended that a National Bus Terminals Authority should be constituted on the model of the Airports Authority of India to develop, standardise and manage the bus terminals across India. It said that the government should implement a policy where there should be a separation between the ownership of buses and management of bus terminals like the aviation sector, where an airline does not build its airport but obtains access to terminals on payment to the operator.

The committee's recommendations came in response to submissions by private bus operators, who argued that they are denied access to state-owned bus terminals on the grounds that these facilities belong to State Road Transport Undertakings (SRTUs) and, therefore, cannot be opened to their competitors. The operators said this system leaves terminal capacity underutilised and impacts their cash flow, as the denial of entry to private buses means the terminals lose an opportunity to generate additional revenue by charging a fee per bus. At the same time, passengers are often forced to board private buses from roadsides.

The report emphasises that as buses carry more daily passengers than the railway network, they must move toward next-generation mobility with user-friendly services. EXPRESS FILE

According to the report, Delhi and Tamil Nadu are the only two states which allow the halt of private buses at their bus stand. For instance, the interstate bus terminal at Kashmere Gate in Delhi charges Rs 500 per entry, which is collected through FASTag. In Tamil Nadu, private operators are permitted a 15-minutes halt at bus stands upon payment of Rs 500.

The report also called for a National Code for Bus Terminals. "A National Code for Bus Terminals be framed within one year prescribing minimum standards of sanitation, lighting, seating, security, signage, digital passenger information and accessibility, and serving as the reference for viability gap funding or other central support," it said.

The committee further recommended to notify the standards and design of a modern bus stop at a cost of Rs 10-12 lakh for expressways and highways and circulate it among all MPs to use their MPLAD fund to build such bus stops. It also highlighted that 95% of government buses halt on highway carriageway to deboard the passengers.

The transport committee also asked the government to build a National Bus Digit Grid to track a bus like train and book any bus at a single platform. It also recommended to launch a citizen vigilance channel, on the pattern of the Election Commission of India's cVIGIL application, through which any passenger can lodge a geo-tagged, time-stamped report, with photograph or video, of the condition or conduct of any bus, terminal or halting place, including overloading, the carriage of school children in unsafe conditions, and nonfunctional safety equipment, among others.

The report shifts focus from just vehicle standards to operator-level accountability. It recommended completing the Automated Testing Station (ATS) network to ensure objective fitness testing and published safety ratings for operators based on accident history, enforcement records, and passenger feedback. To modernise the aging national fleet, the committee suggests a Fleet Transition Compact that separates vehicle ownership from operation. This includes bulk procurement and leasing models for electric buses so that operators do not carry the full capital burden.

Noting that the state currently counts vehicles but not people, the report argues that a proper passenger census is essential for sizing terminals, pricing permits, and justifying budget allocations.

Top court orders CBI probe into Chhattisgarh custodial death

Express News Service
New Delhi, August 12

THE SUPREME Court on Wednesday transferred the probe into the custodial death of a 34-year-old Chhattisgarh man from the state police to the Central Bureau of Investigation (CBI).

A bench of Justices Vikram Nath and Sandeep Mehta noted that the death occurred in January 2024, while the state police had registered the First Information Report (FIR) only on July 30, 2026, more than two years later.

Noting that the deceased was the sole breadwinner of the family, the court also ordered the authorities to pay Rs 25 lakh to the family as interim compensation. "The final quantum of compensation payable to the petitioners shall be determined while adjudicating the instant petition", it said.

The police had taken the man into custody on January 18, 2024, on the charge of possessing liquor for sale outside his grocery shop. He died three days later on January 21 in hospital.

"In the facts and circumstances of the case, we are of the firm opinion that the ends of justice require that investigation into the circumstances leading to the custodial death be entrusted to the Central Bureau of Investigation and that all officials found responsible for the custodial violence upon completion of the investigation be proceeded against and prosecuted in accordance with law," the bench ordered.

Asking the central agency to entrust the probe to a senior officer, it further directed that "the conduct of the concerned state officials, in failing to take appropriate steps pursuant to the submission of the judicial inquiry report, shall also be duly examined and made a part of the investigation".

"The findings recorded by the High Court that the deceased was the sole breadwinner of the family and that he died an unnatural death on account of violence suffered during the period of his custody with the State have not been disputed by the Chhattisgarh government," the court said.

The Judicial Magistrate First Class in a report attributed the death to complications resulting from the head injury caused by a blunt weapon, following which his wife and daughters moved the High Court for a probe. The High Court disposed of the plea, granting compensation of Rs 1 lakh but did not direct any probe, after which the family approached the Supreme Court.

NEET-UG PAPER LEAK CASE

NTA lacks formal policy to choose subject experts: Witness testimony to CBI

Delhi court takes cognizance of the CBI chargesheet filed on July 28

Mahender Singh Manral
New Delhi, August 12

A MAHARASHTRA-BASED physics expert in his testimony to the CBI is learnt to have pointed out deficiencies in the National Testing Agency (NTA) policy for selecting and managing subject experts involved in question paper preparation, translation, and moderation. His statement is part of the agency's chargesheet, listing 360 witnesses, it is learnt.

The chargesheet filed on July 28 before a Delhi fast-track court names 13 accused. Special Judge Ajay Gupta took its cognizance on Wednesday, and the hearing of the arguments may begin on August 13.

The expert is learnt to have stated that there is no formal eligibility criteria or written conditions for selecting experts, and that the process largely depended on recommendations from persons already associated with the NTA. "Existing experts can recommend teachers ... for roles including item writing, moderation and translation," he is learnt to have said.

In his testimony, the expert is learnt to have told the CBI that once a question paper is prepared, it is translated to multiple languages by a team of two to four teachers for each language. "Teachers were also engaged for item writing and moderation, and that such work continued throughout the year. To my knowledge, there is no formally documented procedure governing these activities, and no written appointment letters or formal documentation are issued for such engagements," he said in his statement.

The witness also pointed to what he described as 'deficiencies' in the paper preparation system. Since question paper preparation involved subject experts, item writers, moderators and translators, he said, any of them could potentially become a source of leak in absence of adequate monitoring mechanisms. "I believe there is insufficient supervision over the individuals engaged in these roles," the statement said.

He also referred to one chemistry expert associated with the NTA for the last six-seven years. "That one chemistry expert had coordinated with NTA regarding workshops for training existing experts and prospective experts for future empanelment. He claimed that, after certain differences arose between the chemistry expert and an NTA official over questions set for a Sainik School entrance examination, coordination work was taken over by him," a source said.

The witness said several new experts were later empanelled on the expert's recommendations, mostly comprising friends or acquaintances from Pune.

The witness said the chemistry expert was referred to the NTA by Manisha Mandhare (now in custody) after another expert, Dr Bhatt, couldn't continue due to an injury. "Following her association with the NTA she introduced several teachers from different disciplines. Around 40 to 50 teachers were brought into the system through her references," the source said, citing the expert's testimony.

Maharashtra orders rollback of protest FIRs

THE MAHARASHTRA government on Wednesday formally set in motion the process to withdraw cases registered against students and others over NEET paper leak protests, issuing a Government Resolution (GR) that brings them under the existing mechanism for withdrawing cases related to political and social agitations.

The order is the first formal step towards withdrawing the FIRs, but those named in the cases will have to wait. The existing procedure requires the police to first investigate the cases and file chargesheets, after which the cases will go through government committees before the prosecution can approach a court for withdrawal. **ENS**

TN to Manipur to Malaysia: Vikram's gibbon video leads forest dept down a long trail

Arun Janardhanan
Chennai, August 12

IT BEGAN as an affectionate, albeit ill-judged, social-media moment: Actor Vikram playing with a Lar Gibbon, the small ape comfortably clinging to him, fiddling with his hair as the camera rolled. The video appeared on Instagram, travelled rapidly across social media, sparked 'likes' and outrage, and was subsequently deleted.

But the story of the animal did not disappear with the post. The video has now prompted the Tamil Nadu Forest Department to begin tracing the gibbon's journey into a private home in Chennai, where the video seems to have been filmed. The issue has opened up questions about the possession and transfer of exotic wildlife, and a document trail that, officials say, stretches from Chennai to Erode to Manipur and, according to records, to Malaysia.

Forest officials have sought ownership and other statutory documents relating to the animal after the video drew criticism from wildlife activists.

After the controversy, the forest department found that the gibbon had since been moved from businessman C K Ranganathan's residence in Injambakkam to Erode. Ranganathan, founder-chairman of CavinKare, is the father of Manu Ranjith, who is married to Vikram's daughter Akshita. Reports said the video was filmed at Ranganathan's property along Chennai's East Coast Road.

At the centre of the inquiry is not merely who possessed the animal, but how it even arrived there. Native to Southeast Asia, the Lar Gibbon (Hylobates lar) is classified as Endangered on the IUCN Red List and is listed in Appendix I of the Convention on International Trade in Endangered Species (CITES) of Wild Fauna and Flora. In India, the species also figures under Schedule IV of the Wildlife (Protection) Act.

Its import and possession, consequently, involve a regulatory chain that can include CITES export and import permissions, Directorate General of Foreign Trade documentation, and permissions and registration requirements involving wildlife authorities. A senior forest department official said they have started examining how the animal reached Tamil Nadu and whether statutory requirements governing its possession and transfer had been complied with.

The paper trail under examination begins in Manipur. Records cited by officials show that Laikhuram Singh, a Manipur-based stockholder, declared eight Lar Gibbons — four males and as many females — in 2020 under the then mechanism for declaration of stock of exotic live species through PARIVESH (Pro-Active and Responsive facilitation by Interactive, Virtuous, and Environmental Single Window Hub). Malaysia was recorded as their country of origin.

Screengrab of Vikram with the Lar Gibbon from the video

A later Form I filed under the Living Animal Species (Reporting and Registration) Rules, 2024, records the transfer of three gibbons — one male and two females — from Singh to S K Keshavanathan of Perundurai in Erode district. The transaction, dated June 5, 2026, describes the transfer as being for "adoption". The application is yet to receive the approval of Tamil Nadu's Chief Wildlife Warden.

When Forest Department officials inspected the premises in Erode, however, they found only a male and a female gibbon.

K V Appala Naidu, District Forest Officer, Erode, said Keshavanathan had informed officials that he had applied for possession of three animals but that one had subsequently died. "We need to verify if the animal actually died or if there was an undocumented transfer," Naidu said. The trail then moves to Chennai.

Another Form I records the transfer of one male and one female Lar Gibbon from Keshavanathan to Chinni Krishna Ranganathan of Injambakkam on August 5. The document lists the mode of transfer as "purchase" and the purpose as "pet". That application, too, is pending approval by the Chief Wildlife Warden, according to the records. Officials say the existence of declarations and applications does not, by itself, settle whether the original acquisition, possession or subsequent transfers were lawful.

What was promised by NREGA's new version, where it falls short

NIKHIL DEY

ARUNA ROY

ALL IT took was one newspaper article with hard facts to puncture the BJP government's mythical narrative on its flagship VB-G RAM G law. The Centre says that the Viksit Bharat–Guarantee for Rozgar and Aajeevika Mission (Gramin) (VB-G RAM G) is an "enhanced" version of the now-repealed Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA). It claims an increase in the days of "guaranteed work", universal rollout across rural India, and the "highest ever" monetary allocation by the Centre, complemented by an additional 40 per cent allocation secured from the states. It would be natural to assume that workers are flocking to work sites to claim their full 125 days of work. The reality is quite the opposite.

An Indian Express report ('In its first month, VB-G RAM G sees almost 50% y-o-y dip in rural jobs', IE, August 10) reveals that in the first month of the VB-G RAM G's implementation, the government's own statistics show a sharp decline in work being provided — almost 50 per cent less than the same period last year. The number of households reporting for work has also reduced by 50 per cent.

At a press conference last month by the NREGA Sangharsh Morcha, department statistics were cited to show that in a comparison of the work provided from January to June 2026 with the same period in 2025, total person-days fell from approximately 335.4 million to 215.2 million, a decline of 35.8 per cent. A similar decline can be seen when compared to the average of the previous three years. This is in a country reeling from pervasive unemployment and distress from drought. The idea of 125 days of guaranteed employment is a "*jumla*", and the human cost of this deprivation, especially in rural households, is hard to imagine. Every day of work matters. Every household demanding work matters. Converting this reality into data and statistical debate running into lakhs and crores allows us to paper over the pain.

The new law was not welcomed by anyone except the ruling party. It was bulldozed through Parliament, with the entire Opposition appealing for consultation and re-examination, if not for its withdrawal. The government asserted that this was, in fact, an improved version of the landmark MGNREGA, and that VB-G RAM G would provide 125 days of guaranteed employment at enhanced wages with better digital and tech-based monitoring and delivery.

There are at least five myths being propagated that have undermined the guarantee that served as an imperfect but critically important lifeline for India's rural workforce. These myths help the BJP claim that it is strengthening the work entitlement, even as it deliberately and cynically weakens it.

First, the government has advertised the enhanced number of days it is providing under VB-G RAM G. However, in most parts of the country, people are being turned away from work, and there is little evidence of guaranteed employment being provided. The Centre has cleverly passed a law making it obligatory for the state government to "guarantee" 125 days of work without making provisions for the resources needed to service this guarantee.

> The Centre has cleverly passed a law making it obligatory for the state government to 'guarantee' 125 days of work without making provisions for the resources needed to service this guarantee

Second, the Centre has asserted that it has made the largest allocation of Rs 95,000 crore this year. Along with the mandatory allocation of 40 per cent by the states, the available resources would be a total of Rs 1,55,000 crore. But this is in the realm of fantasy. If work is not provided in the first place and the state is not incentivised to run the programme, then whatever the notional allocation, it will only be on paper. The objective of this notional allocation with complex and untenable cost-sharing arrangements is that the Centre will have succeeded in creating an impression that it is either the state or the people who don't want the programme.

Third, the Centre has recently notified a floor-level wage of Rs 300 per day. This remains below the minimum wage in most states and is far below the BJP-appointed Satpathy Committee's recommendation of Rs 375 per day at June 2018 prices. But even this is notional. Wages are paid as per measurement, and in any case, if you don't give work, you don't have to pay wages at all.

Fourth, the tech-driven VB-G RAM G implementation system has caused immense exclusion and pain for workers across India. E-KYC requirements have led to crores of job cards being deleted, which might explain in part why the number of households coming to work has dropped so dramatically. The NMMS facial recognition app, where workers' photos have to be matched twice a day, causes subsequent exclusion even for those who do manage to find a way to get work.

Finally, by mandating a 40 per cent contribution by states to VB-G RAM G, the government claims to have ushered in a new era of cooperative federalism. In fact, without consulting the states, the funding mechanism imposed under the VB-G RAM G is a violation of Article 258 of the Indian Constitution, a safeguard that requires the Centre to pay for any financial burden that may have to be borne by states for the implementation of a central law. While Opposition-led states did object in the beginning, they have all seemingly fallen in line.

The Opposition seems to have also absolved itself of its moral obligation to stand with the working poor and has done woefully little. The states have not legally challenged the VB-G RAM G. Nor have they tried to enact an alternative guarantee for work in their states. All this while India's most vulnerable workers, most of whom are women, are paying the price and losing even this imperfect but critically important lifeline of the right to work. The ruling party would do well to remember that behind the protest of India's young is their desperate need for employment. VB-G RAM G has undermined the only framework of guaranteed employment that India had. Who benefits from this is a question that India's political and economic ruling elite needs to answer.

Dey and Roy are social activists and founding members of the Mazdoor Kisan Shakti Sangathan

The next step to the Moon

AMID THE volatility of India-US relations, the one aspect of the partnership that has continued to make steady progress is space cooperation. The two space agencies, ISRO and NASA, have never worked so closely together. Now, NASA has asked ISRO to join its Moon Base programme, an ambitious project to establish a permanent research station on the Moon, where astronauts can live, work and carry out experiments for extended periods of time. Humans haven't been to the Moon since 1972, and efforts have now begun to stage a return, this time to prepare the ground for longer stays. Unsurprisingly, the effort is being spearheaded by the US, through its Artemis programme, which aims to land humans on the Moon before 2028. The Moon Base programme is the logical follow-up. NASA realises this goal could be achieved much faster, and more efficiently, if other partner countries and private companies join the effort. ISRO, which has its own plans to land human beings on the Moon by 2040, will get valuable hands-on experience in executing complex crewed missions, and access to technologies. India has already signed up to the Artemis Accords, a US-led coalition of space-faring countries. India and the US have also agreed to develop a "strategic framework for human spaceflight cooperation".

The exploration of the Moon is no longer just a scientific enterprise. Over the next few decades, the Moon could become strategically and economically very important, as countries begin to extract lunar resources. But there are potential pitfalls as well. The Artemis Accords are increasingly being seen as a US-led alliance. Two major space powers, China and Russia, are not part of it. The Accords sidestep, and seek to replace, the 1979 Moon Agreement, which seeks to develop a multilateral governance framework for use of lunar resources.

India has been wary of joining such international structures. Having signed on to the Artemis Accords, however, it has made a choice. Accepting the offer to join the Moon Base programme could be the next logical step forward. But it is extremely important that ISRO does not get locked into NASA's technology ecosystem. That would once again make ISRO vulnerable to technology denial. The cooperation on the Moon Base programme should help ISRO to achieve its own goals faster and more efficiently, and not abandon or delay them in the service of someone else's goals.

With new agreement, Islamabad is upping the ante

AJAI SHUKLA

ISRAEL HAS demonstrated through its bombing campaign of Iran-linked targets that it would accept no restraints in protecting what it regards as its legitimate security interests. Meanwhile, the US has made clear the limits on its security guarantees to its West Asian allies. In this new security landscape, three key players — Riyadh, Ankara and Islamabad — have come together to sign a mutual defence pact. The "Mecca Joint Defence Agreement" marks a shift away from the US security umbrella and towards greater self-reliance. This landmark pact borrows elements of Article 5 of the NATO charter, including its collective security clause.

Both treaties mandate that an armed attack against any one of their member countries will be regarded as an attack against them all. However, there has been no clarification from Brussels or Ankara on how they will reconcile their collective security responsibilities under the Atlantic Charter with simultaneous responsibilities that may arise from the Mecca Agreement. For example, if Israel strikes a Saudi nuclear fuel enrichment facility, Turkey will be required by the Mecca Agreement to respond. If that leads to hostilities between Turkey and Israel, will the 32 NATO countries be treaty-bound to militarily support Turkey against Israel? Such a matrix of interlocking military alliances triggered World War I; it would be odd if this blunder were to be repeated.

The Mecca Agreement brings together the strengths of three Asian power centres. First, a South Asian declared nuclear power, Pakistan, contributes a powerful conventional military and a functional nuclear arsenal, though it is unclear whether Islamabad has offered a nuclear umbrella. Of the two West Asian powers, Saudi Arabia provides political and financial clout as leader of the Sunni world and controller of one of the world's largest oil reserves. Finally, Turkey, the successor of the Ottoman Empire, brings in a powerful military and a highly capable defence industry. The unstated targets of the allies are the other two West Asian power centres: Iran, leader of the Shia world and a major influence in Houthi-controlled Yemen, Iraq, Syria and Lebanon through its proxies, including Hezbollah and Hamas; and Israel, a military and intelligence powerhouse and an undeclared nuclear power.

> Pakistan has a long Cold War record of hitching its wagon to pacts, alliances and treaties to oblige Western governments to derive a geopolitical advantage against India

Much of this is old wine in a new bottle. Pakistan has provided military training and technical assistance to the Saudi Arabian defence forces for decades. In September 2025, Riyadh and Islamabad signed a bilateral "Strategic Mutual Defence Agreement", which has evolved with the participation of Ankara in the trilateral Mecca Agreement. Last May, Pakistan deployed some 8,000 troops, a squadron of JF-17 fighter aircraft, drones and HQ-9 air defence systems to Saudi Arabia. Riyadh, in turn, has repeatedly provided financial bailouts to Islamabad. Turkey and Pakistan have exchanged warships and training aircraft.

India's foreign ministry says it is tracking the situation carefully. It must do so, given Pakistan's long Cold War record of hitching its wagon to pacts, alliances and treaties to oblige Western governments to derive a geopolitical advantage against India. In 1954, Pakistan obliged the US by joining the Southeast Asia Treaty Organisation (SEATO), ostensibly to act as a regional bulwark against the spread of communism. In fact, it did so to obtain advanced weaponry and economic aid from America for the struggle against India for J&K. Today, Saudi Arabia and Turkey are piggybacking on Pakistan in seeking a bigger strategic role in Asia, especially to challenge India's ambition to lead the Global South.

Similar motivations are probably driving Pakistan's current play in West and South Asia, that is, its initiative to mediate between Washington and Tehran and its high-profile role in the Mecca Agreement. There is little need for Islamabad to up the ante in this manner. Since 2019-2020, when the Chinese military intruded into Indian territory in eastern Ladakh, New Delhi has taken steps to de-escalate military tensions with Rawalpindi. The Indian Army has converted a 60,000-man strike corps that was configured for the terrain on the India-Pakistan border into a mountain strike corps configured for the China border. Two more mountain divisions raised in the last two decades were assigned entirely to the China border. Whereas 70 per cent of the Indian Army was once earmarked for the Pakistan border, only about 55 per cent is today. Pakistan's West Asia initiative, therefore, provides an opening for India to use the changing military balance on the border as a springboard for further de-escalation.

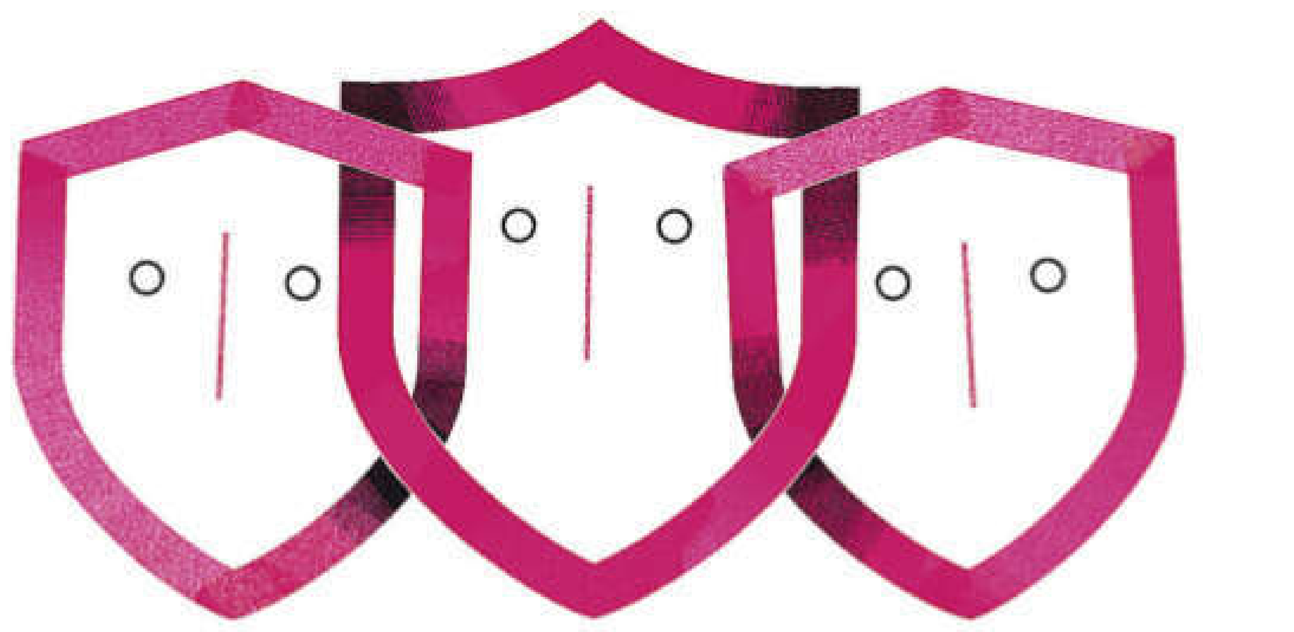
The writer is a retired Army officer and journalist

THE INDIAN EXPRESS

The Ideas Page

THURSDAY, AUGUST 13, 2026

On Mecca accord, let's keep our eyes peeled, ears cocked, and powder dry



THAROORTHINK
BY SHASHI THAROOR

THE SIGNING of the Mecca Joint Defence Agreement by Saudi Arabia, Turkey, and Pakistan represents a significant realignment in West Asian security architecture that has raised eyebrows in India. By formally introducing a mutual defence provision, the pact establishes a tripartite axis combining Saudi capital and Islamic heft, Turkish military technology and NATO experience, and Pakistan's military manpower and nuclear status. Should India worry that this gives Islamabad a free pass to unleash terrorist attacks on us, believing that any retaliation from New Delhi will trigger the alliance's wrath? While headlines inevitably invoke the collective defence framework, calling the agreement an "Islamic NATO" at this stage is premature. NATO's efficacy relies on a unified command structure, pre-assigned forces, and deep technological interoperability, whereas the Mecca pact currently lacks an integrated military headquarters, joint command mechanisms, and institutionalised doctrine. Unless these evolve at a future stage, we are not looking at a formal, viable military alliance.

And the signatories hold divergent strategic priorities. Saudi Arabia is primarily focused on hedging against Iranian regional aggression, Houthi missile threats from Yemen, and perceived vulnerabilities in Western security guarantees (which Riyadh feels have proved inadequate during the recent hostilities). Turkey seeks to expand its defence export markets, assert leadership in the Islamic world, and maintain operational autonomy while managing its delicate balances with NATO, Iran, and Russia. Pakistan seeks external economic bailouts, diplomatic leverage against India, and technological upgrades for its military. Rather than a tightly integrated military alliance, the agreement seems to be conceived as operating primarily as a collective deterrence umbrella for West Asia, specifically the fallout of regional conflicts involving Iran.

The fear that Pakistan can now sponsor cross-border terrorism against India under a Saudi-Turkish shield misreads both the text of the agreement and the geopolitical realities of Riyadh and Ankara. Mutual defence treaties under international law apply strictly to unprovoked external aggression. Terrorism originating from Pakistani soil, even if ostensibly conducted by "non-state actors", followed by targeted Indian counter-terrorism strikes, does not constitute unprovoked aggression, and it seems unlikely that either Riyadh or Ankara would view Indian retaliatory action against terror infrastructure as a trigger for military intervention. It is true that Turkey provided Pakistan with diplomatic and rhetorical support in analogous circumstances during Operation Sindoor, but aside from the sale of drones, it stopped short of tangible military assistance.

Riyadh's relationship with New Delhi has evolved into a multi-billion-dollar strategic partnership spanning energy, trade, and intelligence-sharing. Saudi Arabia has consistently refused to allow its bilateral ties with Pakistan to dictate its relations with India, and Crown Prince Mohammed bin Salman has no desire to imperil his nation's long-term economic vision by getting dragged into a South Asian military conflict on behalf of the generals in Rawalpindi. Pakistan's lack of operational involvement when Saudi Arabia faced Iranian and Houthi strikes despite their existing bilateral defence pact, and Saudi Arabia's passivity when Pakistan was embroiled in conflict with Afghanistan, suggest that transactional defence agreements in the region often feature high-level political rhetoric hand-in-hand with operational hedging. It is also instructive that, unlike Turkey, Saudi Arabia was silent during Operation Sindoor, signalling careful neutrality despite decades of military co-operation with Pakistan.

ILLUSTRATION: C R SASIKUMAR

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Still, even if the pact does not offer Pakistan a blank cheque for terrorism, India (and Pakistan's other neighbours) cannot write it off as mere grandstanding. The real military substance of this trilateral arrangement lies in potential technology integration. Turkey's advanced defence industry, funded by Saudi capital and co-produced or deployed in Pakistan, enhances Rawalpindi's conventional military capabilities in areas such as UAVs, electronic warfare, and naval platforms. A deepened intelligence-sharing framework enhances Pakistan's operational capacity, while creating a formal political bloc that can coordinate positions in international forums like the UN and the Organisation of Islamic Cooperation on issues of vital security interest to us, including Kashmir and maritime security.

So what should New Delhi do? India's studied official silence since the pact was announced is instructive. We should neither panic over the trio's collective defence rhetoric nor brush off a year-long negotiated agreement as inconsequential. We should, to recycle a trifecta of clichés, keep our eyes peeled, our ears cocked, and our powder dry.

A calibrated Indian strategy requires engaging Saudi Arabia candidly but discreetly, via high-level diplomatic channels, to seek clear reassurances that the Mecca pact's defensive clauses apply exclusively to the dynamics of the West Asian theatre and cannot be weaponised by Pakistan to cover sub-conventional warfare. Concurrently, New Delhi must maintain a firm deterrence doctrine, making it clear that Indian responses to state-sponsored terrorism will remain resolute and unaffected by third-party arrangements. India should also double down on its bilateral economic, trade, and strategic partnerships with Saudi Arabia and the broader GCC, highlighting its role as the primary anchor of stability in the Indian Ocean region.

Finally, Indian defence intelligence and procurement planning must closely monitor military-industrial co-development between Turkey and Pakistan, ensuring that indigenous defence research prioritises neutralising advanced drone technologies, electronic warfare systems, and joint naval platforms. This may require us to seek partners who are well ahead of us in these areas. The process should not be delayed and should be fast-tracked despite the labyrinthine bureaucratic procedures through which defence procurement has been laboriously conducted ever since the Bofors scandal.

Ultimately, the Mecca pact should be understood less as a binding warfighting pact and more as a sophisticated instrument of strategic hedging tailored to a volatile region. By fusing Saudi capital, Turkish military technology, and Pakistani operational manpower into a framework of collective deterrence, the three signatories have created a valuable political and economic shield, without assuming the burdens of a true military alliance. For India, a pragmatic strategy that combines firm counter-terrorism deterrence with deep economic engagement in the Gulf, and targeted defence innovation at home, should be response enough.

The writer is a fourth-term MP (Lok Sabha) for Thiruvananthapuram and chairman of the Parliamentary Standing Committee on External Affairs

Higher education faces three challenges

SUDHIR K JAIN

WHY DO Indian institutions not feature among the world's top universities in major global rankings? Why have universities in China, Singapore and Hong Kong climbed to the top in these lists even though only a few decades ago they were on par with India?

There is considerable discussion about the poor state of our higher education system, as well as the low employability of many college graduates. The usual explanations cite inadequate funding, excessive regulation, poor infrastructure and flawed policies. These factors do not fully explain the problem. Indians in and outside of India have demonstrated world-class capability in science, technology, medicine, entrepreneurship and research. Our challenge is not a lack of talent, nor simply resources. The real barriers, in my view, lie deeper. They can be understood through three challenges: Intention, concept, and execution.

The first is whether we consistently place merit, integrity, fairness, and the long-term interests of institutions above other considerations. In too many cases, appointments, promotions and admissions are swayed by factors that should have no place in decision-making. We cannot appoint favourites, regardless of merit, to responsible positions and expect good results. Students can sense favouritism and dishonesty, and they learn not only from what we teach but also from how we conduct ourselves.

> A culture driven by fear of failure discourages initiative; a culture that learns from failure fosters innovation and experimentation

We must ensure that we are solving the right problems in the right way. Universities are neither government departments nor corporate offices. They are unique learning communities and therefore require distinct governance models. Misunderstanding the nature of a university can lead to well-intentioned policies that are ultimately counterproductive. For instance, faculty members at many of our public universities are appointed on a one-year probationary basis. One year is inadequate to assess a candidate's suitability.

Universities cannot develop responsible adults if they treat students as children. Institutions cannot be expected to excel if they are denied autonomy while being held accountable for outcomes. Academic excellence is unlikely to flourish under excessive control; it requires trust, responsibility and a shared commitment to institutional goals.

Similarly, it is difficult to justify applying the same faculty recruitment and promotion policies across diverse institutions and disciplines. Policies should recognise differences among large and small institutions, among teaching-focused and research-focused institutions, and among universities in favourable environments and those in difficult geographies. A faculty member in the sciences cannot always be assessed by the same criteria as one in the liberal arts, while the performing arts may require an entirely different framework.

If universities are to nurture excellence, their governance systems must recognise the distinctive nature of academic work, institutional contexts, disciplinary cultures, and local realities. Even with the best intentions, we still face the challenge of ensuring effective execution. Building great academic institutions requires capable leaders, robust processes, continuous learning, and the humility to learn from mistakes. A culture driven by fear of failure discourages initiative; a culture that learns from failure fosters innovation and experimentation. We must also invest in developing academic leaders through systematic coaching and mentoring. Good ideas do not implement themselves. Leaders need the knowledge, skills, confidence, and institutional support to translate sound ideas into effective practices.

Higher education cannot improve through isolated islands of excellence. Weak institutions tend to pull down stronger ones, partly because policies are often designed to address the weakest institutions and then imposed uniformly across the system, and partly because faculty, non-teaching staff, and students move across the system.

We need to take a serious look at how we govern and support our higher education institutions. Funding, infrastructure, and regulation matter, but they will not be sufficient unless we also address the deeper challenges of intention, concept, and execution.

The writer was V-C, Banaras Hindu University and founder-director, IIT Gandhinagar

July household inflation edges up to 4.45%

Siddharth Upasani
New Delhi, August 12

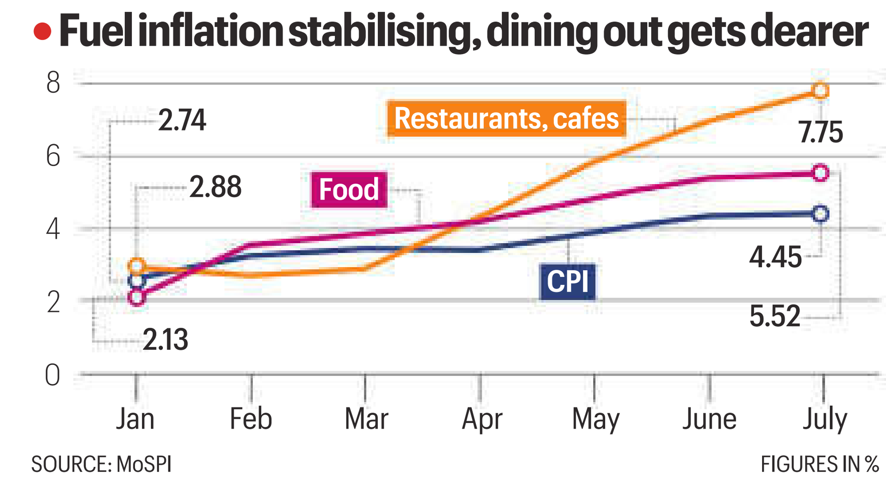
PRICES FOR Indian households rose 4.45% year-on-year in July, little changed from the 4.38% increase seen in June, although inflation for war-impacted categories remained elevated. According to data released Wednesday by the Ministry of Statistics and Programme Implementation, food inflation rose in the country to 5.52% last month from 5.32% in June, while restaurants and cafes continued to charge diners higher prices.

Key food items also posted a sharp increase in prices. Onion inflation, for instance, jumped to 22.54% in July from 4.73% in June despite an unfavourable base effect as prices rose 26% on a month-on-month basis.

There was a similar movement elsewhere. While potato prices were down 17% on a year-on-year basis, they were up 8% in July compared to June. Tomato, on the other hand, was down 5% on-year and 4% on-month. Overall food inflation rose to 5.52% from 5.32% in June. It was as low as 2.13% in January.

"The increase in food inflation was driven by the cereals, meat & fish, dairy & eggs, and sugar and ready-made food categories," said Barclays economists Aastha Gudwani and Amruta Ghare. "We note accelerating momentum in cereals and ready-made food CPI in the past three months, while the sequential increase in meat and fruits CPI in July was more than expected."

Fuel inflation stabilising, dining out gets dearer



According to Madan Sabnavis, Bank of Baroda's Chief Economist, food and overall retail inflation will continue to increase given the sub-par rains and area under cultivation.

"While monsoon has recovered substantially in July, there has been news of crop damage due to excess rains. This combined with a longer cropping period and hence, harvest will push up prices of pulses in particular," Sabnavis added.

According to economists, inflation in August will probably increase slightly to 4.5-4.7%. After August, as the base effect turns unfavourable, inflation is seen crossing 5%.

The Reserve Bank of India (RBI), which last week left its policy repo rate unchanged at 5.25%, expects headline retail inflation to average 4.7% in July-September, 5.9% in October-December, 5.5% in January-March 2027, and 5.3% in April-June 2027.

"Persistent upside risks are posed by geopolitical tensions and El Nino weather pattern, though some improvement in the latter could be visible in the August print.

Crude price volatility is expected to continue with oil likely to hover around $80-85/bbl in the coming weeks," said Megha Arora, Director at India Ratings & Research.

While not a part of the 'food and beverages' category of the Consumer Price Index (CPI), prices charged by restaurants and cafes rose by almost 8% in July compared to the same month last year after increasing by around 7% in June. Eateries have been passing on higher commercial LPG prices to their customers. On the fuel front, inflation has begun to stabilise, albeit at elevated levels, for petrol and diesel.

Core inflation, or inflation excluding food and fuel items, remained unchanged at 3.9%, as per calculations by *The Indian Express.*

The RBI has forecast it will average 4.3% in 2026-27. So far, it has averaged 3.8% this financial year.

According to Arora of India Ratings, the stable core inflation print is indicative of absence of demand push to inflation and may come in lower than the RBI's forecast.

"In our view, while immediate policy tightening is unlikely, elevated inflation projections for Q3 FY27 through Q1 FY28, suggest that the next move on rates is going to be a hike. Evidence of a generalisation in inflationary pressures in the next few months could result in a rate hike in the December 2026 meeting," said Aditi Nayar, ICRA's Chief Economist.

RBI proposes new loan interest-rate framework

ENS Economic Bureau
Mumbai, August 12

THE RESERVE Bank of India (RBI) has proposed a comprehensive new framework governing interest rates on loans and advances, with tighter rules on floating-rate loans, greater transparency in pricing and safeguards for borrowers.

The draft Reserve Bank of India (Interest Rates on Loans and Advances) Directions, 2026, if finalised, will come into effect from April 1, 2027.

The framework will cover commercial banks, regional rural banks, urban and rural cooperative banks, all-India financial institutions and non-banking financial companies, including housing finance companies, for their domestic operations, the RBI said.

Lenders can offer loans at fixed or floating rates. Interest on advances will generally be charged at monthly rests and calculated on a daily reducing balance using the actual/actual day-count convention.

Agricultural loans will have separate provisions linked to crop seasons, it said.

A key change concerns floating-interest rate loans. Banks will have to link all floating-rate personal loans and floating-rate loans to micro, small and medium enterprises (MSMEs) to an external benchmark. These can include the RBI policy repo rate, Government Treasury Bill yields or other benchmarks published by Financial Benchmarks India Pvt Ltd, the RBI said. The lender should not price a loan below the applicable benchmark for that loan, it said. The benchmark, reset frequency and reset date will have to be clearly specified in agreements. For most lenders, the benchmark reset period cannot exceed three months and, once chosen, cannot be changed during the loan's tenor.

FULL REPORT ON WWW.INDIANEXPRESS.COM

Meta trial biggest test yet of youth social media litigation

Reuters
California, August 12

META PLATFORMS will face a coalition of state attorneys general in a California federal court trial beginning on Wednesday over claims it engineered Facebook and Instagram to be addictive to children, a case that could expose the company to massive damages and force it to make sweeping changes to its platforms.

The trial in Oakland, expected to last seven weeks, will test Colorado, Kentucky, California and New Jersey's allegations that Meta designed its platforms to keep young users hooked and misled consumers about their safety. It will also address claims by 29 states that the company illegally collected and used children's data in violation of federal law. Jury selection is on Wednesday, with opening statements slated to begin August 18. Meta founder and CEO Mark Zuckerberg is expected to testify, as is Instagram head Adam Mosseri. In terms of potential damages and implications for Meta, the trial is the biggest test yet of youth social media litigation and comes amid a broader reckoning across the globe over social media's effects on young users. Meta has said the damages could be as high as $1.4 trillion, near the company's market cap of $1.5 trillion, though the attorneys general have not publicly disclosed how much they may seek.

Meta has said the damages could be as high as $1.4 trillion. REUTERS

The attorneys general of Colorado, Kentucky, California and New Jersey are also asking the judge to issue an order forcing the company to implement age restrictions, eliminate infinite scroll and make other changes to its platforms.

A Meta spokesperson said the company strongly disagreed with the allegations and was confident evidence would show its longstanding commitment to supporting young people. "We've listened to parents, worked with experts and law enforcement, and conducted in-depth research to understand the issues that matter most," the spokesperson said in a statement.

The states' lawsuit, which was filed in 2023, stemmed from a multistate investigation into Instagram and Facebook's impact on young users. The investigation was announced following disclosures by Meta whistleblower Frances Haugen, who testified before a US Senate committee in 2021 that the company knew its products could harm young users and how to make them safer, but chose not to make those changes in favour of pursuing higher profits.

"Meta knows its platforms are harming children and teens but continues to keep kids addicted, as we've alleged in our lawsuit," New Jersey Attorney General Jennifer Davenport said in a statement ahead of the trial. A *Reuters/Ipsos* poll last week found an overwhelming majority of Americans — 85% — think social media can be addictive for children, with 61% of respondents saying social media companies need firmer oversight.